PUBLIC

WS Global CIO Office
24 March 2026

Market Watch

Gold finds strong support around USD 4,100/oz

Summary

Event: The Middle East conflict has driven gold price volatility close to the highest level since the Covid pandemic. Gold prices plunged 27% from January's all-time intraday high of USD 5595/oz to a four-month intraday low of 4,099 yesterday, before rebounding strongly to close around 4,407.

Our View: Gold initially gained in the first couple of days of the Middle East conflict due to safe haven demand, before pulling back sharply. We see this pattern often repeated during periods of heightened market stress as investors raise cash to pay margin calls or simply book profits where they can. As a result, money managers' gold positioning has turned bearish lately. The USD's recent strength on the back of a hawkish repricing of Fed rate expectations has also weighed on gold. We expect gold to remain volatile in the near-term amid demand for liquidity if the conflict continues.

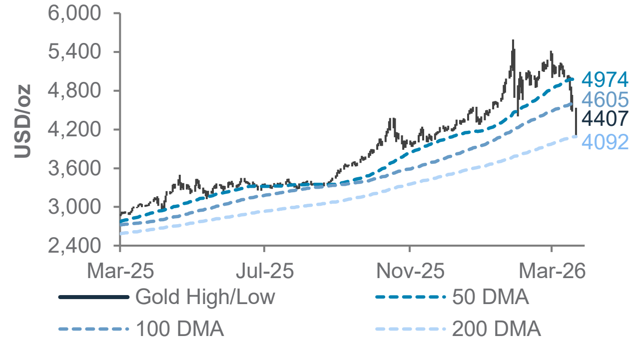
Investment strategy: We remain constructive on gold, both tactically over a 3-12-month horizon, as well as strategically. This view is primarily underpinned by structural factors, including strong Emerging Market central bank demand and investor diversification amid heightened geopolitical risks.

In our base scenario of a short-lived Middle East conflict, we also expect the USD to weaken over 6-12 months as the Fed cuts rates to revive a fragile job market. A weaker USD should again support gold prices. We have a 7% allocation to gold in our balanced diversified allocation and expect gold to rebound towards USD 5,375/oz in the next three months once the derisking phase passes. Over a 12-month period, we expect gold to gain further towards USD 5,750/oz.

Thus, we see the latest pullback as an opportunity for investors still underinvested in gold to add exposure by averaging in. On technical charts, we see strong support around the 200-day moving average of USD 4,100/oz, the level from which gold bounced back strongly yesterday. The next support is around USD 3,878/oz.

Gold found strong support yesterday around the 200-day moving average close to USD 4,100/oz

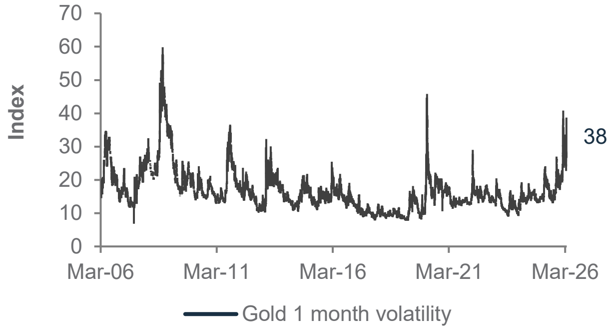
Gold price and key technical support levels



Source: Bloomberg, Standard Chartered

Gold volatility has surged close to Covid pandemic highs as oil prices surged amid the Middle East conflict

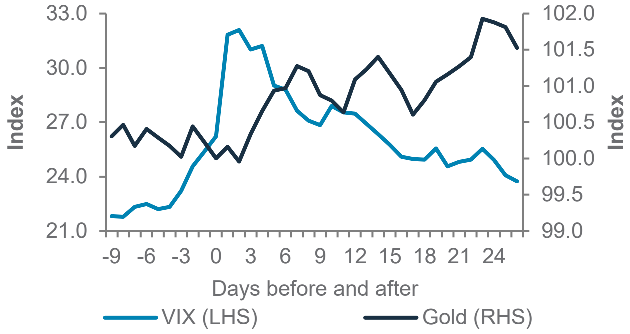
Gold one-month implied volatility



Source: Bloomberg, Standard Chartered

Historically, gold's initial liquidity-driven sell-off during volatility is followed by a strong sustained rally

Average gold run over periods where VIX > 30 (2006 - now)



Source: Bloomberg, Standard Chartered

Cyclical factors supporting gold

Gold has cyclical support from two primary drivers: **a) Fed policy easing and falling real rates, turning gold more attractive**: Markets have sharply repriced Fed rate expectations since the Middle East conflict escalated as oil prices surged. Markets are now anticipating the Fed to hold rates this year, vs. 50bps of cuts by December priced only a month ago. In our base scenario of a short-lived conflict, we expect the Fed to look through a near-term rise in inflation and cut rates by 50bps by end-2026 as it turns its focus, under incoming Chair Warsh, to reviving a weak US job market. This would drag US real yields lower, lifting gold.

b) Rising demand for gold as an alternative investment. The past year saw a nascent shift in investor demand towards gold bars, coins, gold-backed ETFs and digital gold. This suggests gold's rising role as an alternative investment. Among institutional investors, gold remains under-owned, with significant scope for upside.

Structural factors supporting gold

The structural drivers of gold are threefold: **a) Geopolitical uncertainty,** which has led Emerging Markets to consistently boost their gold reserves in the past four years, especially after the US and EU decisions to freeze Russian central bank assets following the Ukraine war in 2022. As of February, the top three EM central bank gold holders – China, India and Russia – had around 20%, 17% and 45% of their reserves in gold. The Middle East conflict is likely to bolster this trend.

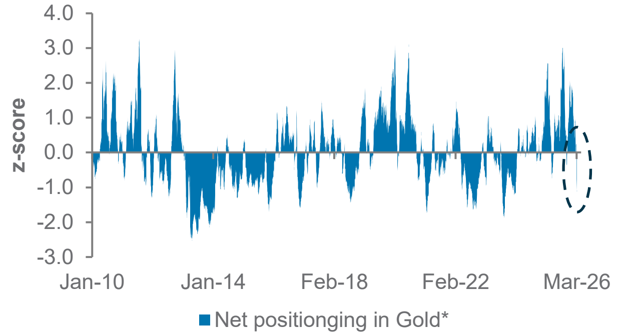
b) Concerns about expansionary fiscal policies. Fiscal policies continue to be relaxed worldwide, led by the US and Japan, with Germany joining in this year. This has raised concerns about long-term debt sustainability. The Middle East conflict is likely to further increase US debt, with the Trump administration proposing to seek Congress approval for a USD 200bn boost to defence spending. In this case, gold is seen as an antidote to profligate fiscal policies.

c) Concerns about the Fed's independence. These concerns increased last year after President Trump's decision to fire Fed Governor Cook (subsequently stayed by courts) and investigate Fed Chair Powell for expenses related to renovation of the Fed's headquarters. Trump, who has three allies in the seven-member Fed Board of Governors, will have a majority of allies on the Board if he successfully replaces Cook. Trump has also nominated long-term ally Kevin Warsh to replace Chair Powell when his term ends in May 2026 (subject to Senate confirmation). Warsh has previously called for significant rate cuts despite US inflation remaining well above the Fed's 2% target. Such a step could lead to a sharp USD depreciation, supporting gold.

— ***Rajat Bhattacharya,*** *Senior Investment Strategist*

Money managers' gold positioning has turned bearish amid search for liquidity

Net positioning in gold (z-score)



Source: VandaXAsset, Standard Chartered; *full sample z-score

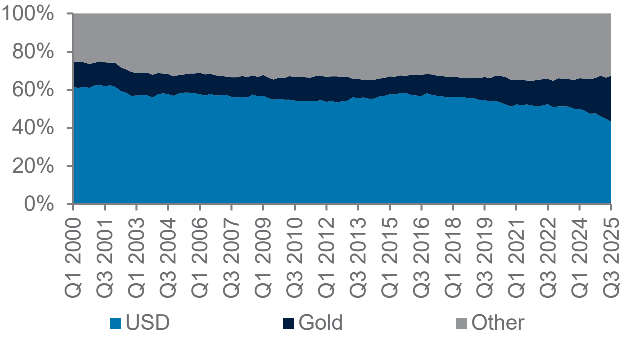
Gold's correlation with US real bond yield has turned negative again; we expect a drop in real yields, as Fed rate cut expectations return, to support gold prices

Correlation between gold and US 10-year real bond yield*

Source: Bloomberg, Standard Chartered; *Fed 10-year real yield

Gold continues to rise as a share of global central bank reserves, mainly at the expense of the USD

Share of global central bank FX reserves



Source: IMF, World Gold Council, Standard Chartered

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WS Global CIO Office
19 March 2026

Market Watch

Fed holds rates; Powell flags inflation concerns

Summary

Event: The Fed held its policy rate at 3.75% for the second straight meeting, as widely expected, while maintaining its projection for one more rate cut in 2026. Fed Chair Powell voiced concern about the slow progress in lowering inflation even before the Middle East conflict erupted, as the central bank revised up its forecasts for inflation and growth for 2026-27. The rate sensitive US two-year government bond yield jumped 10bps to 3.77%, the USD index rose 0.5%, while the S&P500 index slumped 1.4% to a four-month low. Markets are pricing less than 60% chance of a rate cut by end-2026.

Our View: Under our base scenario of a short-lived Middle East conflict, followed by an economic soft-landing, we expect the Fed to hold rates in H1 as it looks through a near-term rise in inflation. We then expect it to cut rates by 50bps in H2 as it focusses on reviving a stagnant job market.

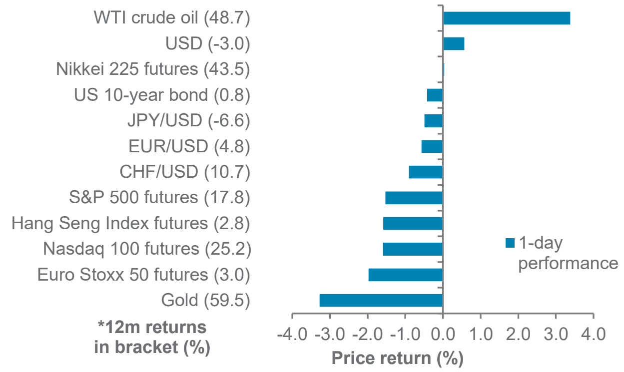
Investment strategy: stay diversified, preference for US assets, hedge against inflation. With the Middle East situation fluid, a diversified allocation with a tilt towards USD assets remains prudent, given the US is likely to be the least impacted from higher oil prices since it's a net oil exporter. US corporate earnings estimates have been revised higher lately, underlining solid fundamentals. US inflation-protected bonds, energy-based currencies (CAD, AUD, NOK) and gold remain key hedges against inflation and geopolitical risks.

Fed's new 'dot plot' projections

Fed lifts growth, inflation projections. The Fed's "dot plot" survey of members' projections showed a median forecast of one 25bps rate cut by end-2026 and one more cut in 2027. It lifted growth and core PCE inflation estimates for 2026 to 2.4% and 2.7% for 2026, respectively. Powell said the Fed is willing to see through a short spike in inflation due to oil prices and prior tariffs as it assesses the impact of the Middle East conflict, provided inflation expectations remain anchored.

The USD rose with bond yields as Fed Chair Powell voiced concerns about inflation as oil prices jumped

1-day asset performance: 17-Mar close to 19-Mar (9AM HKT/SGT)



Source: Bloomberg, Standard Chartered

The Fed revised higher its growth and inflation estimates for 2026-27, while maintaining its projection for one rate cut in 2026 and another cut in 2027

Fed's new vs. old economic and policy rate projections

	GDP		Unemployment		Core PCE		Rates estimates	
Dates	Old	New	Old	New	Old	New	Old	New
2026	2.3	2.4	4.4	4.4	2.5	2.7	3.4	3.4
2027	2.0	2.3	4.2	4.3	2.1	2.2	3.1	3.1
2028	1.9	2.1	4.2	4.2	2.0	2.0	3.1	3.1
LR*	1.8	2.0	4.2	4.2			3.0	3.1

Source: Bloomberg, Standard Chartered

Base scenario

We see 50bps of Fed rate cuts this year. Our base case (60% probability) is that the US economy achieves a soft-landing this year. A short-lived Middle East conflict would temporarily raise US energy costs, hurt real disposable income and spending without causing a sustained inflation shock. Nevertheless, the US is likely to be more resilient than other major economies, given it's the world's largest oil producer and a net oil exporter. Moreover, an estimated USD 160bn of tax refunds in Q1 due to last year's tax cuts should partly offset the hit to household wallets from higher oil prices, sustaining consumption. Also, AI-driven investment is likely to pick up this year, enabling economic growth to settle below long-term trend. Any rollback in tariffs heading into November mid-term elections would provide further support to growth.

There is low risk of a wage spiral, since the US job market was close to stalling before the conflict and is much weaker than during the 2022 energy shock caused by the Ukraine conflict. US consumer sentiment remains near post-pandemic lows, while long-term inflation expectation remains low, although near-term inflation expectations have spiked with oil prices.

Against this backdrop, we expect the Fed to hold rates in H1 as it looks through a brief energy-led inflation upturn. A delay in Fed rate cuts is likely to put further downward pressure on the job market. This, in turn, is likely to push the central bank, under incoming Chair Kevin Warsh (subject to Senate confirmation), to turn dovish in H2 as oil price-driven inflation fades and the focus turns to reviving the weak job market. We expect the Fed to deliver 50bps of cuts in H2 vs. market expectations of a 25bps cut.

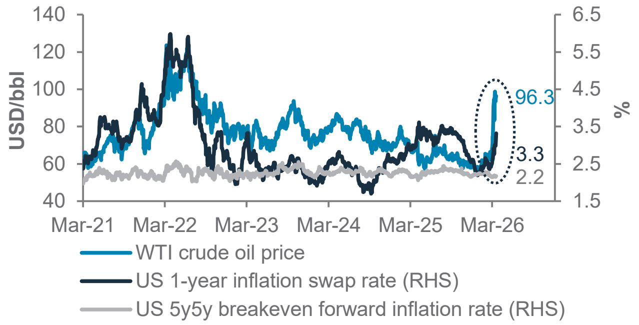
Downside and upside risk scenarios

There is a rising risk (25% probability) of a hard landing in the US economy, especially with the start of the Middle East conflict. A prolonged conflict would keep oil prices higher for longer, delaying Fed rate cuts and further impairing the US job market. A stock market downturn hurting investor confidence, or a bond market sell-off on inflation concerns and/or debt concerns are other tail risks.

On the upside, we assign 15% probability to a scenario that US tax and Fed rate cuts, against the backdrop of fiscal easing in Germany and China, and a potential rollback of US tariffs could revive "animal spirits", provided the Middle East conflict is short-lived. A Russia-Ukraine peace deal, a US-China "grand bargain" or EU-wide defence spending could potentially lift global growth prospects, improving the outlook for US exports.

US short-term inflation expectations have risen with the surge in oil prices, but long-term inflation expectations remain subdued

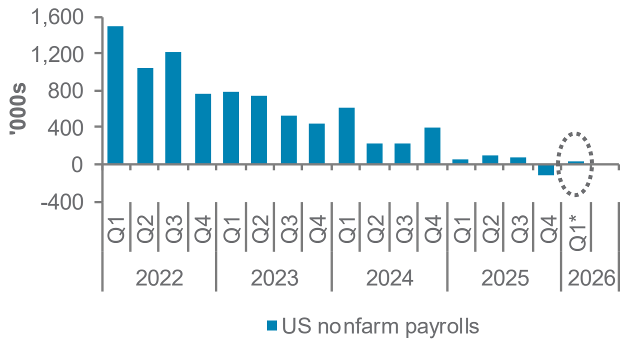
WTI crude oil price, 1-year and 5-year market-based inflation expectations



Source: Bloomberg, Standard Chartered

US job creation had virtually stalled before the start of the Middle East conflict; we expect the Fed to cut rates by 50bps in H2 to revive the flagging job market

US quarterly net job creation



Source: Bloomberg, Standard Chartered; Q1 2026 reflects January and February net nonfarm payrolls

What does this mean for investors?

Stay diversified, with a US tilt: A diversified allocation, with a tilt towards US assets remains justified, given heightened Middle East risks. The US economy is likely to be relatively less impacted from the conflict, compared with Europe and Asia, given its limited exposure to Middle East energy sources, significantly reduced energy intensity (US oil consumption per unit of real GDP has fallen by almost 70% since 1980) and because it is a net oil exporter.

US equity valuations turn attractive. US corporate earnings estimates have been revised higher in recent weeks, despite the pullback in equities due to the Middle East conflict. This has made US equity valuations more attractive, especially if the conflict proves short-lived (our base case) and oil prices fall back towards USD 70-80/bbl. The robust US earnings outlook is led by the tech-sector which is benefitting from structurally strong AI-related investments.

Maintain inflation hedges: US energy equities and inflation-protected bonds remain key hedges against an oil-led inflation spike. Although gold has pulled back from near-record highs in recent weeks amid USD strength, history shows it is one of the best hedges against stagflation risks. We have a 6% allocation to gold in our balanced allocation. Oil and commodity-based currencies such CAD, NOK and AUD are likely to benefit, while Asian oil importer currencies are likely to remain under pressure in the short term.

Await opportunity to lock in bond yields. The negative growth impact of higher oil prices is limiting how high bond yields can rise. Any sign of the conflict ending would likely lead to a pullback in US bond yields and the USD. In that scenario, markets are likely to refocus on expected policy divergence, with the Fed cutting rates later this year to support a flagging job market, while other central banks hold (ECB) or hike (BoJ, RBA) rates. We expect the USD index (DXY) to end the year around 96, almost 4% weaker than today, while the US 10-year government bond falls towards 3.75-4.0% range.

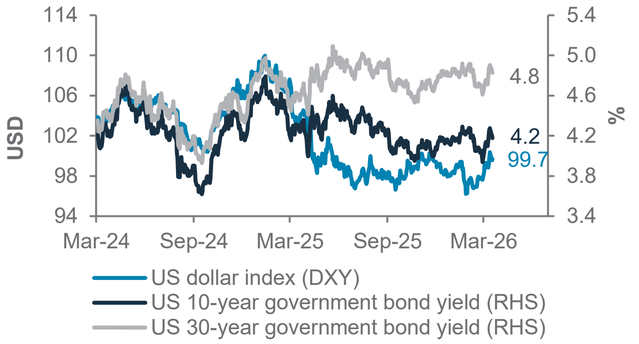
Next focus: Apart from Middle East developments and the shape of the oil price curve, US jobless claims and inflation expectation indicators will be closely watched for the initial impact of the conflict.

The US job market has been fragile since Q4 last year – any signs of cracks would likely bring forward expectations of Fed rate cuts. Conversely, a rise in long-term inflation expectations in the event of a prolonged shutdown of the Hormuz strait would revive rate hike expectations, especially given the Fed's experience of falling behind curve in the aftermath of the Ukraine conflict in 2022.

— ***Rajat Bhattacharya,*** *Senior Investment Strategist*

The USD and US bond yields have risen amid rising near-term inflation expectations; we expect USD and bond yields to fall back as growth concerns return

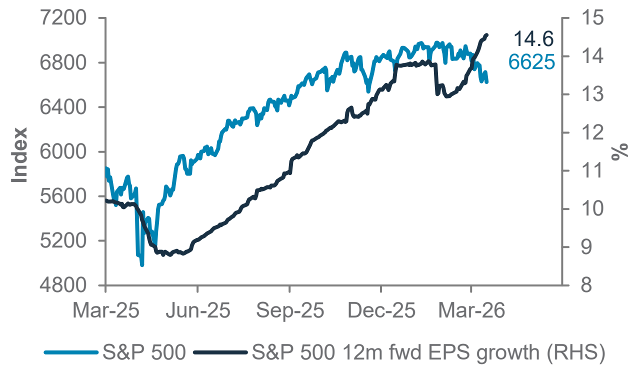
USD index (DXY) and US 10y, 30y government bond yields



Source: Bloomberg, Standard Chartered

US equity valuations have turned attractive as stocks have declined in recent weeks, despite a rebound in earnings growth estimates

S&P500 and 12-month forward EPS growth



Source: Bloomberg, Standard Chartered

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